Trucking Is Booming Again, And Drivers Aren't Happy About It

Podcast: Odd lots

AI Executive Summary

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Full Transcript

Hi, I'm Barry Rithaltz, inviting you to join me for the Masters in Business podcast. Every week we bring you conversations with the people who shape markets, investing and business. I speak with CEOs, Nobel laureates, market innovators and legendary investors. Whether you own stocks, bonds, real estate commodities, even crypto, these are discussions you absolutely need to hear. Subscribe to the Masters in Business podcast on Apple Spotify or anywhere you listen. Umberg Audio Studios. Podcasts. Radio. News. Hello and welcome to another episode of the Odd Lots podcast. I'm Joe Wazenthal. And I'm Tracy Allaway. It's been too long since we've done a trucking episode. This is just an objective fact that we need to get out of the way here. It is time. I mean to be fair.

To be fair, I think we've both written about trucking in the OddLots newsletter recently. I think back in January, you started to get some of the freight and logistics companies talking about maybe they were starting to see an upturn and looking at some share prices since then. So I've got, look up Night Swift at the moment. What's the ticker? I mean, it's KNX. Okay, KNX. I've got Night Swift or JB Hunt, but Night Swift is a little bit more dramatic. I mean, since January of this year. No, it's a great run. It's had a great run. So I think the trucking rebound. It seems to be here. It seems to be here. You know, the problem was going like a long time. I mean, as you mentioned, we do write about it. So it's not like we're ignorant. But the one of the things that we learned when we did a lot of trucking episodes, particularly in the years after the pandemic was like when we talk about like the business cycle, you know, it's like these multi-year cycles. When truckers talk about the cycle, there might be like eight up and down cycles within one boom or within one recession, just extraordinary cyclical business. Right. So if we or hopefully anyone else have learned one thing from the truck episodes, it is that this is such an incredibly cyclical industry. And the standard explanation is that you have these really low barriers to entry for owner operators of trucks. And so as soon as trucking rates start to go up, everyone decides to become a trucker, the market gets flooded, it overexpands, and then inevitably the rates start to come down, and then you have a bunch of independent owner operators who...

Start to go bust, and then capacity comes out, and the whole cycle can begin again. True. It seems real boom bust. And you mentioned the share prices of Night Swift and JB Hunt. But another way to look at it, I'm just looking at the internet truck stop van rate index, just a sort of basic measure of how much it costs to move. That was in December of last year, it was like 1.94. I guess that's probably per mile. And now it's up to, it broke three, it came down a little bit. So just by measuring the cost of trucking, it's clearly gone up. So we need to figure out what's going on. Sorry, I'm just looking at this night chart. Again, the Night Swift chart. You know, they've outperformed meta this year. That's amazing. I know. Look at JB Hunt. I think it's like almost a double. Yeah. Like forget about AI. The money apparently is in trucking. Well.

How are all, for real, how are- This is how the cycle starts, right? People start saying the money's in trucking and then everyone gets it. How are the turbines getting to the data centers? How are all like, right? Like we know that there is a lot of demand for physical goods as part of this AI story and the physical goods have to get to the data center somehow. So I think this is part of the story. This is the question. Is this the sort of same rebound that we've seen before or is there maybe something more structural that's happening here? We've also had some recent- developments with like the actual supply of truck drivers, right? Which is also something that clearly impacts capacity. So there's a lot to talk about. There's a lot to talk about. It's time to revisit the trucking market. We have a guest that we've never had on before, but someone really like, someone I've known from the internet for a while, who really knows the space very well. We're going to be speaking with Reed Loestelo. He is the chief marketing officer at Truck Parking Club. And so, Reed, thank you so much for coming on Outlots. Joe Tracy, thanks for having me, Joe.

got to give you credit, man. I said you weren't going to do it, but you did it and you said my name right. So congratulations. Thank you. All right. Test cleared for this episode. Actually, what do you get? Who are you? What's your background? What's the truck parking club and all that? Why are we talking to you? Yeah, sure. So I'm, my name is Reed Loos below. I have been in freight my entire career, which at this point is, is a feels like a Long and short 10 years at the same time, started out of college at a freight

brokerage. ECHO is a large freight brokerage, top five freight brokerage. then spent some time at a technology company called Trimble, did my own thing for a bit. That's where I encountered you on the interwebs probably three or four years ago, just kind of stirring the pot on Twitter. And then I joined Truck Parking Club about three years ago and really have been focused on truck parking for the last three years, which we can talk about because that's a trending topic as well. But yeah, I mean, I've been in freight.

my whole career, and I'm a freight guy, and I now live in Chattanooga, which has been dubbed Freight Alley by Craig Fuller, and yeah, so I'm in it, man. The parking thing is really interesting here, because if you think about a truck or freight rebound, you think about things actually moving, right? But I'm curious from your perspective, Does a rebound look like more trucks actually having to stop and find parking, like desperately circling for a place, I don't know, around a data center or something like that, and trying to find space? Like, is a healthy trucking market, what does that look like to a company that is in the truck parking space? Yeah, sure. So, you know, naturally as demand increases, we'll see more trucks on the road.

Tracy, you kind of talked about a number of the trending topics ahead of this. You talked about the cyclical nature of trucking and the barrier to entry, if you will. So it's a very multivariate market. And truck parking is one of those things that structurally it's very difficult to construct new capacity because it's very limited in where you can do it. It's expensive. Many municipalities don't want it. And so there's a bunch of structural reasons why it's difficult to quickly increase the supply in the traditional sense. And what we've done is really just leverage the existing space. So there's millions of truck parking spaces across the US that are on private property, and we've just built a network marketplace to tap into that. So we go to owners, we say, hey, you can make some money parking trucks, comes on our app, drivers use our app.

find parking on private property and pay the owner. So Airbnb sort of style. Yeah, that's what I was just going to say. It sounds like a 2010s era sharing economy sort of thing, but it makes sense. Exactly, exactly. And here's another thing about trucking is trucking is from a tech standpoint is always

behind. Right? And so when you operate in the physical world and you're in as it's fragmented, a market is trucking is. I mean, there's nearly a million trucking companies and most of them are, the long tail is really, really small, less than 10 trucks. It's slow moving and it's slow to adopt technology and that's always been the case. And so we're really scaling and we've really done this at an interesting time because like Tracy said, I mean, coming out of COVID, the market was hot.

freight rates were through the roof supply flooded the market because there was indeed a very low barrier to entry and a lot has happened as a result of that and Technology has really flooded the market too. I would say over that same period Yeah, and so there's a lot. I mean there's a lot to talk about so I guess you guys tell me where you want to start Yeah, well here I mean let's start with like maybe the really simple question and then we'll drill down even further based on how you answer it, but like big picture This surge that we've seen over the last two or three quarters, whether we're looking at stock prices or maybe more importantly, rates, decompose the drivers, the forces that have pushed these lines higher. Yeah, I mean, so coming out of COVID, starting in basically mid 2022, mid to late 2022, we saw rates fall and we were in essentially a three plus year low.

And most folks were saying, most of the talking heads were saying that demand returning was the only thing that was going to drive rates up. Like, that was going to be the only thing. But what we've seen in really the last, you know, since the new administration took office, we've seen a massive kind of crackdown on English language proficiency on non-domiciled CDLs. And there's been, as a result, a lot of capacity has kind of structurally been chopped out of the market. And so supply has really dwindled. And man, to complicate things, there's also been in the last couple of months, a Supreme Court ruling in Montgomery case, which historically freight brokers who move, I think on average about 30% of freight volumes, if I'm not mistaken, freight brokers, which are a critical component to the freight ecosystem, have historically not been liable or have not been held liable for carriers.

negligence or carriers accidents, right? And now that's in question. And so there's been so many kind of structural things that are really pushing

capacity out of the market and also making certain types of capacity come at a premium. Right like safety ratings all of a sudden might matter at carriers now because brokers might be you know there's more scrutiny on brokers selection of carriers and so there's there's so many kind of like supply things that are affecting the rates and that are kind of structurally affecting the barrier to entry. So that next time there is a demand spike and you are seeing demand spikes in pockets of the market, right? Like Joe, you talked about data centers, right? Flatbed has been booming and data centers have a lot in construction has a lot to do with that. But when you, if you really were to have like a COVID level event where like there was unprecedented demand, I'm not sure the market could bring on as much new capacity as it did, like it did during COVID because there are, you know, fundamental changes to the buried entry and the government is really really put a lot of or is working to I guess I should say put a lot of barriers in to prevent bad actors coming in mostly if you were to kind of look at it.

from their perspective. I want to talk more about the barriers, but just before then, I'm really interested in the supply versus demand question. Are there any empirical things that you can look at to show that capacity is coming out of the market? I'm thinking, for instance, people used to look at the spot versus the contracted rate as one indication of capacity, and that started flipping earlier in the year. Is that, for instance, an indication that capacity is really getting limited? The data guys will look at the spread between spot and contract rates. I'll give you an anecdote. Yeah. Love it. That's essentially me saying I'm not the biggest data guy. But anyway, anecdote. So I have a buddy who owns a trucking company. He's Ukrainian descent immigrated here from Ukraine, I think, you know, over a decade ago. And many of his drivers were also Ukrainian. And this is a common story you hear in trucking. There's a many trucking is a very rich ecosystem full of Every nationality you can possibly imagine and they've got their own little network of companies and they've got their own network of drivers They bring people from their home country and there's a lot of scrutiny on these folks right now I should add right because many of them have non-domiciled CDLs Which is a certain type of CDL and there's been a lot of scrutiny on those so many of these folks have those CDLs But despite that despite what people are saying about non-domiciled CDLs There's still some really good companies. And in my days, I worked with a lot of them.

So I'm still friends with a lot of them. So I was talking to my buddy, he's a Ukrainian guy. And he's like, look, this non-nomiciled CDL rolling means I have to get rid of all of my drivers. I have to find all new drivers. And of course that means I can't hire people who are in my network, many of whom have non-nomiciled CDLs.

So this is a serious thing for many of these companies. And in many of these companies are the ones that really do kind of run in the spot market, right? They're the five, six, seven, one, two, three truck carriers, which is like I said, the vast majority of the total amount of companies. I mean, there's hundreds of thousands of these folks, and they're structurally at a major disadvantage. One, because of not domiciled CDLs, but also two, because of English language proficiency, which has been another thing the government has really focused on the DOT, I should say under Sean Duffy has really been focusing on, which is, you know, it started from a very natural standpoint. It's like, if you can't read the signs, how can you operate a 80,000 pound vehicle safely? Okay, fair. But naturally, that's also kind of pushed people out of the market too. And you hear the same thing.

I mean, I hear the same thing every day from my friends who own fleets or who are drivers. It's things are tough for them right now and hiring drivers is difficult right now. And historically it's been another big issue is driver turnover. I bring it up more issues, more rabbit holes. Driver turnover is, you know, at some fleets it's over a hundred percent a year. It's crazy. it's crazy what goes on in some of these fleets. And when you kind of shrink the supply of drivers, that becomes even crazier. So naturally, that'll mean better pay for drivers who kind of fit the profile that companies are looking for. But it's just kind of more pot stirring, if you will. That's just further complicating the situation.

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listen. There are so many rabbit holes that you have already thrown out, but just going back to one, explain the non-domiciled CDL issue to me because it sounds like, again, I'm not a CDL expert, but just based on the name alone, if I have a non-domiciled CDL, like, couldn't I eventually turn that into a normal domiciled CDL? That is a great question that I am not the best person to answer I will be honest about the legality of the CDL's I think what started all of this was Joe you probably and Tracy maybe you do too, but you know There's a group on Twitter that we lovingly call ourselves freight X right it's like this little kind of freight ecosystem and for the last I would say two plus years, there's been a growing group of people that have been really looking into, like, who are these companies that have flooded the market? Who are the drivers? What types of CDLs do they have? And one of the most tangible things that I remember was, it was probably a year ago, people started to discover that a lot of CDLs were issued to people with something called no name given as their first name, right?

Literally on that seems a little bit suspect literally on their license It says like no name given and so I think that kind of like as people started to discover this and also you also had many trucking companies being registered at like there was like 200 trucking companies registered to like an apartment in you know signal Hill, California or like shared in Wyoming There's like 600 trucking companies registered to a PO box. Yeah And so that really kind of started people looking at this and then the non-domiciled CDL thing really started to take off, you know, when Sean Duffy and the DOT started, I believe in June of 2025, really kind of honing in on, you know, English-language proficiency and non-domiciled CDLs. But I believe non-domiciled CDLs have been around since the mid-80s. And it's not necessarily like, obviously it's not unlawful or else they wouldn't be issuing them. But I think there was a lot of scrutiny put on certain states that were just had massive spikes in the issuance of CDLs like California and Minnesota, I believe were the two kind of biggest in New York were some of the bigger examples where, you know, historically, they'd been issuing, you know, X amount of CDLs per year. And then all of a sudden out of nowhere, right around COVID, it was like 10 X, right. And all of a while,

you know, that all that all happened in years past and nobody really looked at it. But then in the last year, everyone's been like, okay, what's really going on there?

And so that's kind of what's led to the scrutiny, if you will. So someone with a non-dom CDL has taken a test in the U.S. Or at least in theory, someone with a non-dom CDL, it's not like they're just like, oh yeah, I took a test back. So non-domicile CDLs are for people who are foreign nationals, who are not nomosiled here, but are legally allowed to work. Yeah. Right? And so if they have the legal authorization to work, then they can go and get a non-domiciled CDL. But just to establish the CDL part, let's just say in theory. In theory, yes. In theory, the non-dom CDL is not someone who's like, oh, I got my trucking license in Ukraine and then I moved to the United States and I'm trucking. In theory, the non-dom CDL is someone who moved here. In theory, right. But when you see a really big spike in the number of issuance, of non-dom CDLs that are way out of historical proportion. The question that might arise for regulators is perhaps the quality of the CDL, et cetera. Like that's sort of what this source of concern would be. And to go down another rabbit hole, there's been a lot eyeballs on CDL schools lately. Yeah. Yeah. There's some, you know, you remember that guy, Nick Shirley or whatever, like the Colby Leering Center in Minnesota. Yeah. It's like. You guys, yeah, truckers have the same. Yeah, same thing.

So there's lots of suspect CDL schools, lots of suspect curriculums, lots of suspect trainings. They've essentially been handing out CDLs like candy, it would seem. No, no, this makes a lot of sense. I know obviously the administration, Sean Duffy, the secretary of transportation, they've talked a lot about this. et cetera, like, okay, how many of these drivers are actually safe and did a proper education, et cetera. But from your perspective, the people that you talk to, it's basically like, no, this is more than just tweets. This is not just, oh, we're looking into this, et cetera. You think there's a clear, like, on the ground effect from this is real. Oh, 100%. 100%. And I hear it every day from my friends who own trucking companies. Yeah, 100%.

Okay. And it's been much harder to, you know, capacity has been much tighter. You talk to freight brokers, you know, what used to be, you know, rates have gone up and it's harder to find trucks. So. Got it. There's only a couple sources for that right now. I guess what I'm getting at with the domiciled versus non-domiciled CDL thing is, would you expect this to be a temporary blip as the administration, you know, scrutinizes some of these foreign drivers, but eventually they, I don't know, like maybe they have to. go back to school and get re-licensed again, and then they come back on stream or is this like a permanent cut in driver capacity in your mind? Well, I think if I'm not mistaken, the government in March of this year said that essentially non-domiciled CDLs, it's not going to be as easy to renew them. Okay. And so naturally, they'll start to expire and there will be less of them over time. And I mean, who knows?

Obviously, we can't get a crystal ball out and see what's going to happen in the next election. So who the heck knows what another administration might do or might be able to do? Who knows how permanent any of this is? Man, anyone's guess is as good as mine on that. it occurs to me that there are sort of two interlinked things that strike me as interesting. So let's say, okay, you have the Ukrainian owned trucking company and a lot of non-dom Ukrainian drivers. And then to your point, though, you know, they're part of a broader network, they might network with Ukrainian freight brokers, etc, etc. And now you have the Supreme Court ruling, which for the first time opens the door to the possibility of the broker who traditionally wasn't held liable would be the carrier if there's a major accident caused by them. So it feels to me like this combination, like you could literally obliterate like sort of like whole networks. Like we think of the network as the driver, the truck, et cetera, but the network is also the sort of the capacity as the ecosystem itself. So structurally, this is if this continues down the path it's on right now and a lot of the pundits, you know, the legal experts I know, I could name a couple have said in the last day that if this all keeps going down this path, this is a serious structural issue for the freight brokerage business model. And if the freight brokerage business model is in trouble, then naturally that means that the long tail of trucking companies who primarily get their freight from freight brokers, they're in trouble too.

And so, historically, freight brokers have had to have processes to audit the carriers they set up and audit the carriers they give freight to. And each one has kind of had their own process for that. And that's evolved. And there's been a lot of technology that's gone into the vetting and compliance side of freight brokerage in the last couple of years, mainly because another thing we haven't talked about, which is the whole rabbit hole, is cargo theft. Cargo theft has been through the roof since COVID. there's been a kind of a huge amount of criminal element like large criminal elements that have come in and are doing everything from spoofing carriers pretending to be carriers to setting up fraudulent entities.

acting like a normal carrier for a while, then figuring out where the good freight is, stealing that and then disappearing. Oh, wow. I thought you just meant someone like picking up blocks off the back of the truck or something. No, no, no, no. Like I'm talking like mafia type stuff, right? Like crime rings. And that's exploded in the last couple of years. And so as a result of that, freight brokers have been much more scrutinous of who they're hiring. And now, you know, safety which is kind of the element we're talking about here with regard to the Supreme Court ruling is like, okay, what's a safe carrier? And so far, brokers have really kind of relied on the FMCSAs.

rating, right? It's satisfactory conditional or not rated, right? And so traditionally it's like, okay, I hired a satisfactory carrier. It says on the FMCSA's website, they're satisfactory. That must mean something. Therefore, they're good. I'm going to hire them. And they go like the recently there was CH Robinson was involved in a case where they hired a carrier that was satisfactory that had done like 200 plus loads for them, and then was involved in a wreck. And now they're facing like a 600 million judgment. And they're appealing it naturally. But if that holds true, the Freybroker business model is going to be in serious trouble because the government's not really telling them clearly, okay, this is a safe carrier. This is the betting standard. Use this. If you do this, you're covered. They're not really doing that. There's a lot of gray areas around this.

That's naturally going to cause a lot of problems for freight brokers. And like I said, the vast majority of these small carriers and there's hundreds of

thousands of these companies, they get their freight from freight brokers because they can't go, it's difficult for them to go get direct customers. It's traditionally like if, if I'm a one truck operator and I walk into Kraft Heinz, Kraft Heinz is going to be like, yo, like I'm not giving you freight. I'm going to give freight to the broker who can give me a thousand trucks or you know, Night Swift, who can give me 10,000 trucks. So it's just a very, it's a very difficult time. Yeah, this is Tracy when I think like maybe we need to broaden our conception of what.

capacity means, because we think of it as drivers. We think of it as trucks, et cetera. But if there is a small carrier and it's 10 trucks and 10 drivers, if they can't really plug into a network that they know, then is that even capacity? I'm looking at a headline right now from, I guess this is a stat from Roadmaster Group, but they're saying cargo theft jumped 60% last year. That just came out three hours ago. And also there's a New York Times headline saying nearly 11. 10,000 bottles of bourbon were stolen from a Philadelphia warehouse as a result of coordinated cargo theft. It's funny because you and I both just assumed that when you said cargo theft, there's a banditry. I thought it was like grabbing boxes, you know. Yeah, like, you know, like in Goodfellas, where you like tell the truck. That's as far as my criminal ambitions can stretch. And then the truck driver is like, please beat me up, right? Do you remember that in Goodfellas? He's like, please beat me up so that my own boss does not think that I stole it.

They've targeted Guy Fieri. Guy Fieri had great stolen. Like all these celebrities in the last like year have like seemingly come out with liquor brands and they're all being targeted too. Like I think Shaq's like Range Rover got stolen off a car hauler. Like there's been all sorts of crazy stuff. But I mean, I'll joke aside, like it is crazy. It is crazy what's going on. And seemingly it's only getting worse despite all the scrutiny and all the tech that's been kind of brought in. But Tracy, you did kind of mention something interesting. or maybe it was Joe, kind of the different types of capacity, right? Like one thing that I'm thinking a lot about, and I'm not a freight broker anymore, so I'm slightly removed, although I did do it for many years. Historically, there's not really been, freight's really a commodity, and there's one carrier versus the other might ask you for more money, but you don't really have a good reason to pay.

Carrier A, much more than Carrier B. You know, some situations might be like, okay, you know, yeah, I'll give you a couple hundred extra bucks because I know you, I trust you and that's worth it. But it's pretty much the same service, right? Like you expect the stuff to go from one place to another. Yeah. Yeah. It's, and traditionally it's been viewed as a commodity, but like now that there's this kind of extra scrutiny on the broker's vetting process and the hiring process, like there might start to be A kind of strata of carriers where like they've got the best ratings. They're the safest operators like they're able to fetch a premium and brokers might be like shoot like I have to pay them more because I need to check these boxes so that if they get an erect God forbid I'm as covered as I possibly can be in the event that some you know billboard attorney tries to sue me for 600 million. That's really interesting. You could start to see more, I guess, diversification come into the market, more stratification on rates, people paying a premium for certain services or trust. I think that would make sense to me if that happens. I think that would make sense. The jury's out on if that'll happen, but that makes sense to me. The other thing I wanted to ask about is just how do people feel about becoming truckers at this particular moment. So rates are up. It seems like the money's there or at least there's more money there than there used to be a few years ago. But at the same time, we still hear complaints about it's a tough life. You're on the road all the time. The hours are insane. Like maybe you're waiting hours at a port to pick up a load. Hard to find parking. Hard to find parking, clearly. There's a lot to say here.

there's a lot to say here. And it's actually interesting because I did just run, you know, at truck parking, we run a survey of all of our driver base space every week. And I happened a couple of weeks ago to do a survey, basically just about like drivers opinions on the state of the industry, right? Would you recommend this job to a friend? Like, how do you feel about trucking? And anecdotally, I can say that in my discussions with my driver friends, like, it seems like morale is at an all time low. That's just the anecdotal, what I hear from people. But structurally, I mean, or what I see kind of in these surveys is like, like there's a strong sense of nostalgia in trucking. Like it was much better than, than it is now, right? You look at like the seventies and eighties when you had Smokey and the Bandit movies like

that. Truckers were like cow, yeah. Truckers were cowboys, right? Or explorers or frontiersmen, right? And they were respected.

And it was something that was a desire. It was kind of the last kind of frontier, right? You're out on the road kind of figuring it out. And now it seems for whatever reason that that kind of ethos has been damaged and you hear a kind of a lot of just kind of like a mourning of the industry when you talk to drivers. And like in this manifest itself, like if you go to a truck stop and you just kind of pulled random drivers, I guarantee you that if you ask them, you know, were things better in the past than they are now. And maybe this is just a human thing to a degree. perhaps. So this isn't like a scientific study by any means, but like, there is a strong sense that things were better in the past. And I think there's a lot of reasons for that. So, you know, technology for the driver is a bad word traditionally. Yeah. Okay. Because technology for the driver has meant surveillance. It's meant in cab cameras, surveilling their every move for liability reasons. It's meant speed limiters.

It's meant electronic logging devices, which severely limits their freedom to operate as they see fit on the road. So it's all of these things that have kind of like constrained them, right? And if you think about traditional trucking as freedom on the road, like these are all anti-freedom things, right? And so if the traditional trucker is looking for a job that gives them freedom, they're not finding that as much anymore. And so technology has had a bad rap. and I tend to agree with the driver on that. There's all sorts of reasons why all of those things are useful, but I can understand why they would feel that way, right? If we start from the premise that it's already gonna be a lifestyle sacrifice, and you're like, well, okay, it's a lifestyle sacrifice, but there's a paycheck, and everyone makes a lifestyle sacrifice paycheck. But if it turned out that it was in the past, it was a lifestyle sacrifice, plus a paycheck, plus a certain culture of freedom and this sort of maybe- Burgers at roadside cafes. Yeah, just like all these like the sort of, and then it's just like, no, it's no longer that, it's just the lifestyle sacrifice for the paycheck. Then that's a different equation.

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spend all day watching tickers scroll across your screen? Subscribe to Stock Movers today on Apple, Spotify or anywhere else you listen. The other thing is, just on the technology front, is for years now, we've been hearing that self-driving trucks are coming down the line. So I imagine if you're a young person thinking about getting a CDL, maybe you're no longer looking at it as a viable long-term career. Yeah. I mean, Autonomous is very interesting. It's anyone's guess how long that's going to take to really reach significant levels of adoption. I know there are many companies currently operating Autonomous lanes, mostly in Texas.

And we do talk to these companies because one thing people ask is, OK, if all the trucks are autonomous, do they even need to park? Does your business still exist? And so we have a whole, one, there's still trailers. Trailers need to be staged. Yeah, they still have to park, right? They must do. Yeah. And people forget that there's many. Oh, people are suggesting that they'll just keep driving forever. Like they never need to stop, basically. Yeah. OK, I see. All right. And they're like, OK. And I've got my whole. reasons why that's actually not the case and we're actually kind of in deep conversations with the autonomous companies because autonomous trucks need reliable staging and they need to be able to plug into a network to know that if I arrive at this location, I'm going to have a spot and truck stops and rest areas do not provide that level of surety at all.

Yeah, right. Like I honestly do think that of all the trending topics that we've talked about, like a lot of them are really kind of like billboard level things, shocking, like Guy Fieri's tequila gets stolen, right? Like cargo theft, like... Not the mayor of Flavortown. Right. And but parking is really actually, I mean, it is one of the like top issues when you talk to drivers. Like if not the top... Like a quality of life issue is what you're saying, right? It's unbelievable. It's a quality of life issue, but it's also a pay issue. Like a significant pay issue. And let me, let me explain. I hinted at ELDs. So electronic vlogging devices in 2017, it was either 2017 or 2018. I can't remember now, but the government mandated every truck must have an electronic vlogging device. So drivers are allowed to operate 14 hours a day, 11 of which they're allowed to drive. Okay.

And there's no moving that around. And if you go over that 11 hours, you're in trouble. It's going to hurt your record. It might increase your insurance premiums. It'll cost you money. It's a problem, right? You do not want to do that. And so naturally what that means is the driver's day is very rigid. You know, I was driving to work this morning on I-75 in Northern Georgia. There's a rest area I pass every day. And every day there's trucks lining the exit ramp of the rest area, like on the highway. And how those trucks end up there? is they've got two hours left on their clock. It's five PM. Like they're rolling down the highway. They're trying to go as far as they can because they're paid by the mile, right? And they don't get that time back if they lose it. And they're trying to get as close to their destination as possible. And what that means is naturally there's a trade-off every single day that every driver makes who's driving over the road. It's like, okay, I could park now, but I've got four hours left, right? Yeah.

I could park now and take a spot at the truck stop that's open because it's three PM and nobody's parked yet. Or I could keep going down the highway, go before more hours and end up in the middle of Atlanta at eight PM and with nowhere to go. Right. And so there's, there's a serious cost associated with losing those four hours. Right. And four hours is a bit of an egregious. Like that does happen every single day, but even if it's at one hour, Right? If you think about the cost to operate a truck, if you think about how many miles you're able to drive in an hour, like, and then you multiply that across an entire year for a driver or for a fleet, you multiply that across their entire, all of their drivers. Like in the cost and the productivity loss go sky high really, really quickly. And historically there's been not really much fleets for drivers could do about that. Right? And not only is it a pay issue, but it is a quality of life issue to your point, Tracy. Like you guys live in New York city. I don't know if you have cars.

But parking in York City, not the easiest place to park in the country. To put it mildly. To put it mildly, right? And naturally that will mean, you know, if I'm coming into New York and I want to go to a Knicks game and it's two hours before, like I got to be methodical about, okay, I'm going to go here, I'm going to park there, I'm going to get there then. And if that's too much of a pain, I'm not going to go, right? I'm not going to go do that thing. But when you live in rural, you know, Georgia, you don't think anything about

where you're gonna park. You're like, oh, yeah, I'll be fine. Like I'm just gonna go, right? Then I gotta place the park. And what truck drivers, like my analogy is like, truck drivers every single day is like being in New York City and the Super Bowl, the World Series, the NBA Finals, the NHL Finals are all there on the same day and there's nowhere to park at all. And you have to go. And it's gonna be a total, it's gonna cause you lots of stress. You're gonna be like, what the heck am I gonna do?

Right? And that's every single day. Okay, but explain this, because America has a lot of roads. It's got a lot of highways, a lot of interstates. Where are all the parks? Like why do we seem to have a shortage? Maybe it's not even a shortage. Maybe it's misplanning of resting areas for trucks. Why the scarcity? Because it's very the traditional places to park, which are rest areas, which are built by the state or the federal government and truck stops. And those can only go in so many places, right? Loves and TA and pilot, like they would love to build more locations, but it's not like you can just put them anywhere, right? There's only so many interstate exits where it's appropriate to put a truck stop in economical because they're super expensive, right? And then rest areas are very, very expensive to build. Like if you look at some of these projects that the government funds, it's like sometimes it's as much as two to 300,000 per space.

by the time a project is done. It takes years to complete. And so structurally, it's just difficult to build capacity. And between rest areas and truck stops, there's about 700,000 spaces provided by these traditional sources. But there's millions of trucks on the road, right? And millions of them need a place to park on a daily basis. And so naturally, what you see is, if you talk to any driver, 5 p.m. every day, the truck stops full. I talked to an owner operator yesterday who's parked with us, so basically what we enable them to do is fire up their phone, find a place to park, basically no matter what, at any time of day, and essentially almost any city at this point. And the difference that makes for a driver, let me explain. So I talked to an owner operator yesterday. He's parked with us 56 times in the last year, and he's spent, like obviously he's spending his own hard earned money on that, but he's not just doing that and operating the same way that he would.

if he were just parking at the truck stop. He's thinking like, okay, like I'm going into Denver and Denver is a hard place to park. It's going to be 7pm by the time I get there. I have to deliver at three in the morning in the middle of Denver. I'm going to pay 25 bucks or 30 bucks or 40 bucks to park a mile from my warehouse versus parking 30 miles away at the truck stop and having to negotiate the hours of service requirements to be able to go and leave. And so that money he's spending is position, he's positioning himself properly next to his delivery. He can be there on time. He doesn't have to fight traffic. He's the first one there. He gets empty and that surety just offers him much more reliable planning, right? And that just means, that just means his life is easier, right? It's less stressful. He's not driving into New York during the World Series every single day.

And that's just an anecdote from a driver, right? So the key thing though, just to understand this is a big function of this is the fact that drivers get paid by the mile, not the hour. And so if in the ideal world, you have 11 hours on the road, 11 hours were allowed to be behind the wheel, you're going 60 miles an hour, maybe on average, you cover 660 miles in a day, that's a good day or something like that. If three hours of those are spent waiting in line, for something by the side of the road because you're not sure if there's going to be parking when you hit the 11th hour. That's three hours of your day. They're not getting paid. That's three hours gone. That's three hours of behind the road time that clocks to your, that goes to your maximum that is not compensated. Yeah. Yeah, that's not compensated. And the fleet loses those productive asset hours too, right? Like there's layers to this. And then all of us, you know, you multiply that across the entire trucking market.

And that's like a serious kind of like throughput issue for the supply chain. Like I can't emphasize this enough, like still to this day, most people in the industry do not think, oh, they just think, oh, well, this is a problem. We all agree this is a problem. What are we gonna do? Oh, well, we need to wait around for the government to allocate enough money and build enough spaces to fix this problem. And that's just not gonna happen if we're honest with ourselves. And it makes sense. The government should be investing in this critical infrastructure. It's needed. Great. Do it. Get as much as we can. The drivers need it. The more the merrier. But all the while, we're adding,

you know, sometimes 1,000, 1,500 new spaces to our network a week, right? A week. Cool. And so we're at like, you know, near 90,000. And we're adding more spaces in a week than truck stops build an entire year, right? And we're already have a larger, more spaces than the largest truck stop chain, right? And soon we'll have more than all of them combined.

and soon we'll have more than all of the public infrastructure combined. And that's going to just fundamentally reshape how drivers and fleets are able to operate. And that might sound hyperbolic to people who don't think about this like I do, but it is a very meaningful change to just the life of a driver. It just really is. And just to the productivity of a fleet, the driver's pay, the driver's health, like it touches turnover, it touches cargo safety, it touches all of the hot topics we've talked about. Like it's all connected to this. It's all connected. So I'm getting fired up, guys. I'm getting fired up. That's great. We talked a lot about the supply side of the industry. Can we just discuss demand a little bit more? On a basic level, what are you seeing from your network? Are you seeing pockets where things are really hot right now, where, for instance, data centers are being constructed and things like that? Yes. The components of the data centers are obviously incredibly expensive.

You're talking turbines, you're talking obviously GPUs and all that and super, super expensive. And naturally targets for theft. And so we've had direct conversations with folks building data centers and are actively working on projects to kind of help them plan, okay, we're going to stage here, we're going to stage here, like we need locations here. And so we're actively working on that right now. So to answer your question directly, yes, yes, of course we are seeing pockets of demand. And we are seeing you know, it's it's interesting because we're just kind of like this. So it's hard to tell like what's seasonal and what's not when you're just kind of like this, no matter what, you know, maybe in two years, like we'll be able to like have much more. Okay, this is like this season. This is that season. But yeah, I mean, the short answer to your question is yes. All right. We lose the low. Thank you so much for coming on odd lots for all the trucking episodes we've done.

We've actually learned quite a bit more on this one. So really appreciate you taking your time. Yeah, I appreciate you, Joe and Tracy. You guys are killing it. Joe, your Twitter game is strong, man. I love following you. I always smash like. But thanks for having me on. I really appreciate it. Thanks so much for that. Thanks, guys. Tracy, I'm so glad we did that episode. There's so many interesting, so much interesting texture, maybe, is the word to the trucking market that is easy to not really observe if you're just looking at very simple metrics like line going up or how much physical capacity there is in a day. Yeah. I mean, it seems like a lot has changed for sure. It does seem like some of the things we talked about are more structural than cyclical, right? And again, who knows what the next administration is going to do, but for instance, the Supreme Court rulings saying that brokers can be held liable for dangerous halls and things like that.

would appear to be something that's going to stick around and possibly affect the industry for years to come? No, it seems like a really big deal and Reed put it really well. It's like, okay, like maybe there's fewer brokerages in the future, et cetera. But then it's like, okay, you might have drivers and carriers. It's capacity. Maybe it's even safe, well-trained, very fluent in English capacity, but it might not have the scale to sort of plug into whatever that sort of new network or ecosystem looks like in a world with fewer brokers. Is it really capacity then at that point? And then it also means that the freight brokerage game isn't. always going to be a race to the bottom, which I'm sure there's going to be a broker firm out there who complains, but like the impression you get is a little bit like, you know. Yeah. And also I think, you know, one of the things that we both observed when we started doing trucking episodes is why is there still so much humans in the middle? It's because it's not a fungible market in the classic sense that it's very idiosyncratic, kind of like the corporate bond market is the analogy that we use. If we have to get even more gradations of safety ratings. By the way, the FMCSA...

He said that term and so I wanted to tell people what it was the Federal Motor Carrier Safety Administration So it's like if we need like more gradations of safety ratings for the existing brokerages to feel comfortable with them I I'm gonna having thought about this for five minutes. I will

now weigh in on policy It would be probably helpful if there was one rating where it said if the broker goes with this rating they are clear in terms of these sort of nuclear settlements or these nuclear lawsuits that could destroy a whole company. It probably would be good to have at least on your part a clear box that you can check that establishes that you've done the right thing. Credit ratings for freight brokers? Yeah and it's like if you know it's like there are various ways to get in trouble but if you get the triple A carrier They, if the broker goes with the AAA carrier, at least on that level, they've done their due diligence. Nothing bad can ever happen from AAA ratings. No, that's right. All right. Shall we leave it there? Let's leave it there. This has been another episode of the Odd Thoughts podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway.

And I'm Joe Weiss, and though you can follow me at the stalwart, follow our producers, Carmen Rodriguez at Carmen Arman, Dash O'Bennett at Dash Bot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, go to Bloomberg.com slash OddLots, where the daily newsletter and all of our episodes. And you can check out about all of these topics 24 seven in our Discord, discord.gg slash OddLots. And if you enjoy OddLots, if you like it, when we do these trucking episodes, then please leave us a positive review on your favorite podcast. And remember, if you are a Bloomberg subscriber, you can listen to all of our episodes absolutely ad-free. All you need to do is find the Bloomberg channel on Apple Podcasts and follow the instructions there. Thanks for listening.

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